

ACCA IFRS DIPLOMA December 2023 Questions

1 of 4

Alpha, a parent with one subsidiary, Beta, is preparing its consolidated statement of financial position (SFP) as at 31 December 20X9.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Financial statements – draft SFP for Alpha and Beta as at 31 December 20X9.
2. Alpha's investment in Beta – details of Alpha's investment in Beta.
3. Alpha's other investments – a summary of Alpha's other investments, including the investment in Gamma.
4. Inter-company trading – details of trading between Alpha and Beta, and Alpha and Gamma.
5. Convertible loan – a convertible loan taken out by Alpha on 1 January 20X9.

This information should be used to answer the question requirement within the response option provided.

1. Financial statements

Note: This spreadsheet has been copied into the spreadsheet Response Option.

Statements of financial position at 31 December 20X9

	Alpha \$'000	Beta S'000
Assets		
Non-current assets		
Property, plant and equipment (Exhibit 2)	350,000	225,000
Financial assets (Exhibits 2 and 3)	290,000	Nil
	640,000	225,000
Current assets		
Inventories (Exhibit 4)	105,000	80,000
Trade receivables (Exhibit 4)	95,000	70,000
Cash and cash equivalents (Exhibit 4)	30,000	35,000
	230,000	185,000
Total assets	870,000	410,000
Equity and liabilities		
Share capital (\$1 shares)	200,000	100,000
Retained earnings	170,000	65,000
Other components of equity	100,000	55,000
	470,000	220,000
Total equity	470,000	220,000
Non-current liabilities		
Long-term borrowings (Exhibit 5)	140,000	50,000
Deferred tax	110,000	25,000
	250,000	75,000
Total non-current liabilities	250,000	75,000
Current liabilities		
Trade and other payables	100,000	90,000
Current tax payable	50,000	25,000
	150,000	115,000
Total current liabilities	150,000	115,000
Total liabilities	400,000	190,000
Total equity and liabilities	870,000	410,000

2. Alpha's investment in Beta

On 1 January 20X8, Alpha acquired 80 million shares in Beta and gained control of Beta. Alpha acquired the shares in Beta by issuing one Alpha share for every two shares acquired in Beta. Alpha incurred costs of \$2 million when issuing these shares. Alpha included these issue costs as part of the carrying amount of its investment in Beta in its own statement of financial position. On 1 January 20X8, the fair value of an Alpha share was \$5.40.

On 1 January 20X8, the individual financial statements of Beta showed a balance on retained earnings and other components of equity of \$30 million and \$55 million respectively. On 1 January 20X8, the carrying amounts of the individual assets and liabilities of Beta in its own financial statements were the same as their fair values, with the exception of:

- Property, plant and equipment which had a carrying amount of \$100 million and a fair value of \$120 million. The estimated useful life of this property, plant and equipment at 1 January 20X8 was five years.
- A contingent liability which had a fair value of \$25 million on 1 January 20X8. The contingent liability was resolved during 20X8 and did not exist at 31 December 20X8.

The directors of Alpha elected to measure the non-controlling interest in Beta on 1 January 20X8 using the fair value method. On 1 January 20X8, the fair value of a share in Beta was \$2.00.

3. Alpha's other investments

On 1 January 20X8, Alpha purchased 20 million of Gamma's 50 million \$1 equity shares for a cost of \$41 million. The purchase of these shares allowed Alpha to appoint two of Gamma's five directors. The other three directors of Gamma act independently of each other.

On 1 January 20X8, the individual financial statements of Gamma showed a balance on retained earnings of \$20 million. On 1 January 20X8, the carrying amounts of the individual assets and liabilities of Gamma in its own financial statements were the same as their fair values. The balance of retained earnings of Gamma in its own individual financial statements at 31 December 20X9 was \$35 million.

The remaining financial assets of Alpha consist of a portfolio of equity investments. These investments are held for trading purposes. The carrying amount of the portfolio in the individual financial statements of Alpha represents the fair value of the portfolio at 1 January 20X9, adjusted for purchases into and sales out of the portfolio during 20X9. On 31 December 20X9, the fair value of the portfolio was \$36 million.

4. Inter-company trading

Alpha sells products to both Beta and Gamma. Alpha applies a mark-up of 50% to the cost of these products when invoicing them to Beta and Gamma. On 31 December 20X9, the inventories of Beta and Gamma included goods purchased from Alpha. The amounts included in inventories were:

- \$15 million in the inventories of Beta.
- \$12 million in the inventories of Gamma.

On 29 December 20X9, Beta and Gamma owed Alpha for some of these goods and sent payments of \$10 million and \$6 million respectively to Alpha in respect of amounts owing for the purchase of products from Alpha. Alpha received and recorded both payments after 31 December 20X9.

5. Convertible loan

On 1 January 20X9, Alpha took out a long-term loan of \$100 million. The loan does not require any payment of interest but is repayable five years after 1 January 20X9 at an amount of \$150 million. As an alternative to receiving this repayment, the lenders can elect to convert their loan asset to equity shares in Alpha.

Were the conversion option not available, the lenders would have required an annual return of 10%. At a discount rate of 10% per annum, the present value of \$1 receivable in five years' time is approximately 62 cents.

The individual statement of financial position of Alpha shows this loan within non-current liabilities at a carrying amount of \$100 million.

Requirement (25 marks)

Using exhibits 1-5, and the pre-populated spreadsheet response option, prepare the consolidated statement of financial position of Alpha as at 31 December 20X9.

Notes:

- No explanations of consolidation adjustments are required. Marks will not be awarded for explanations.
- You do not need to consider the deferred tax effects of any adjustments you make.
- You should show all workings to the nearest \$'000.

(25 marks)

2 of 4

Delta, a listed entity, prepares financial statements to 30 September each year. You are a trainee accountant employed by Delta and report to the finance director (FD) of Delta. One of your key responsibilities is to prepare the first draft of Delta's published financial statements. You have recently received an email from the FD regarding the financial statements for the year ended 30 September 20X9.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

Email – an email from the FD.

Attachment 1 to the email – details information relating to the treatment of a defined benefit pension plan.

Attachment 2 to the email – details information relating to the decline in the resale price of a product. This information should be used to answer the question requirements within your chosen response option(s).

1. Email

To: Trainee accountant
From: Finance director
Subject: Financial statement preparation
Date: 25 October 20X9

As you will know, we are just about to begin the preparation of the published financial statements for the year ended 30 September 20X9. They need to be approved and issued no later than 30 November 20X9. It is very important that the upcoming set of financial results show a favourable financial performance. If the earnings per share (EPS) for the year exceed 50 cents, then all staff will receive a cash bonus.

I have made an initial assessment of our financial performance for the year ended 30 September 20X9 and this shows that our reported profit for the year is likely to be \$42 million. Since we had 80 million equity shares in issue on 1 October 20X8, the start of the year, then the EPS will be 52.5 cents per share (\$42m/80m). Therefore, we will achieve the EPS target which triggers off The payment of the bonus. We issued 20 million equity shares at full market value on 1 July 20X9 but that will not affect the computation of the EPS figure for the year ended 30 September 20X9 since these shares were only in issue for three months.

Since you are a trainee accountant, there are certain transactions affecting Delta which you may be unsure how to report in the financial statements. I have therefore attached details of two separate transactions and the manner in which I would like you to report them in the financial statements. The initially computed draft profit figure of \$42 million is computed based on my instructions.

I would like you to follow my instructions and not to discuss them with anyone else. You will then receive your share of the staff bonus which is dependent on the EPS. I will also be sure to remember this favourably when conducting your annual performance appraisal which is due before 31 December 20X9.

2. Attachment 1 to the email

Delta operates a defined benefit pension plan and all employees are eligible to join the plan. Delta pays contributions into the plan and the managers of the plan pay benefits to retired employees at the end of each financial year. I have been provided with the following information relating to the defined benefit pension plan. You can assume that all these numbers are accurate:

	\$m
Present value of obligations at 30 September 20X8	60
Present value of obligations at 30 September 20X9	67
Fair value of plan assets at 30 September 20X8	54
Fair value of plan assets at 30 September 20X9	58

Amounts related to year ended 30 September 20X9:

– Contributions paid into plan	11
– Current service cost	12.5
– Benefits paid	7

The statement of financial position at 30 September 20X8 showed a net defined benefit liability of \$6 million (\$60 million – \$54 million). I do not believe the net liability should be in the financial statements of Delta at all – it is a net liability of the defined benefit pension plan, not of Delta.

Therefore, in computing the draft profit of \$42 million, I have used \$6 million of the \$11 million contributions paid by Delta to debit the liability and charged the remaining \$5 million of contributions as an operating cost in the statement of profit or loss and other comprehensive income. You can ignore the amounts paid out to retired employees completely – the plan pays these out, not Delta. Other than my accounting for these contributions, nothing should appear in the financial statements of Delta.

You may have noticed that there is a note on the file of information relating to the pension plan which states that the annual rate of return on high quality corporate bonds has been 8% throughout the year ended 30 September 20X9. You can ignore this though; you do not need this information to carry out my instructions.

(10 marks)

3. Attachment 2 to the email

You will know that two of our most popular inventory lines are product X and product Y. Relevant financial details are as follows:

	Product X	Product Y
Number of units held in inventory at 30 September 20X9	10 million	6 million
Manufacturing cost per unit	\$2.00	\$3.00
Advertised selling price at 30 September 20X9 per unit	\$2.80	\$3.60
Selling price at 3 October 20X9 per unit following entry of new competitor into the market (see below)	\$1.80	\$3.60
Selling costs per unit	\$0.08	\$0.10

On 28 September 20X9, a new competitor entered the market selling goods very similar to product X. This had a significant impact on our ability to sell our product X inventory and so on 3 October 20X9, we were forced to reduce our sales prices to stay competitive. Our sales of product X which have been made since 30 September 20X9 have all been at this reduced price.

In computing the draft profit of \$42 million, I have not made any adjustments to the carrying amount of inventory at 30 September 20X9 in respect of this though because the price reduction did not occur until October 20X9 – after the year end. Any losses we might make on future sales of product X items are more than offset by potential gains on product Y items.

(6 marks)

Requirement (25 marks)

(a) Using the information in exhibits 2 and 3, explain and show how the transactions described there should be accounted for in the financial statements of Delta for the year ended 30 September 20X9.

Notes:

- Marks will be awarded for BOTH figures AND explanations.
- The mark allocations are indicated in each exhibit.
- Ignore taxation.
- Where your proposed treatment differs from that suggested by the finance director you should specifically comment on the reasons for this.
- Your answer to this part should NOT discuss any ethical issues.

(16 marks)

(b) Using the information in exhibit 1 and your answer from part (a), compute the earnings per share of Delta for the year ended 30 September 20X9.

(5 marks)

(c) Using the information in exhibit 1, identify and explain the ethical issues that confront you as a result of the email sent to you from the finance director.

(4 marks)

3 of 4

Epsilon prepares financial statements to 30 June each year. You are Epsilon's financial controller and are responsible for preparing the financial statements for the year ended 30 June 20X5.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

- 1. Memorandum – a memorandum from a trainee accountant requesting information about the recognition and measurement of deferred tax balances .**
- 2. Tax transactions – provides details of transactions for which deferred tax balances need to be computed.**

This information should be used to answer the question requirements within your chosen response option(s).

1. Memorandum

There are a number of trainee accountants who report to you. One of these trainee accountants, trainee A, is learning about deferred tax. Trainee A knows that deferred tax is the tax on temporary differences but is unsure about how to compute deferred tax balances in the financial statements and has sent the following memorandum:

Memorandum

To: Financial controller
From: Trainee accountant

I know that deferred tax is the tax on temporary differences. However, I do not understand:

(i)How to compute temporary differences.

(ii)How to compute deferred tax balances in the statement of financial position once those temporary differences are calculated.

(iii)Whether there is any difference between the recognition criteria for deferred tax liabilities and deferred tax assets.

(iv)Whether deferred tax liabilities and deferred tax assets can be netted off against each other in the statement of financial position.

(v)What the impact will be on the statement of profit or loss and other comprehensive income when a deferred tax liability or asset is recognised in the statement of financial position.

Please can you explain each of these to me?

(9 marks)

2. Tax transactions

(a) On 1 July 20X3, Epsilon purchased a large machine for \$60 million. The useful life of the machine was estimated to be five years from 1 July 20X3, after which its residual value would be zero. In the tax jurisdiction in which Epsilon is located, this machine purchase qualifies for a tax deduction of \$30 million in the year of purchase, followed by a deduction of \$15 million for each of the next two years.

(b) On 1 July 20X4, Epsilon borrowed \$40 million. No annual interest is payable on the loan. Instead the loan is repayable on 30 June 20X8 at an amount of \$58.564 million (cumulative PV of principal and interest). The cumulative interest will be allowed as a tax deduction when the loan is repaid during the year ended 30 June 20X8. This loan carries an effective interest rate of 10% per annum.

(c) Epsilon has a wholly owned subsidiary, Fred. Fred is located in the same tax jurisdiction as Epsilon. On 30 June 20X5, the carrying amount of the net assets of Fred in the consolidated financial statements of Epsilon was \$100 million. This figure did not include goodwill arising on acquisition of Fred of \$20 million.

On 30 June 20X5, the directors of Epsilon carried out an impairment review of the goodwill arising on acquisition of Fred. Fred was considered to be a single cash-generating unit. On 30 June 20X5, the directors of Epsilon estimated that the value in use of Fred was \$105 million and its fair value less costs of disposal was \$90 million.

The annual rate of income tax payable by Epsilon on its profits can be assumed to be 20%. Assume that Epsilon will generate taxable income in every accounting period for the foreseeable future.

(16 marks)

Requirement (25 marks)

(a) Answer queries (i) - (v) in exhibit 1.

(b) Using the information in exhibit 2, explain and show how the deferred tax impacts should be accounted for and presented in the financial statements of Epsilon for the year ended 30 June 20X5.

Notes:

- The mark allocations are indicated in each exhibit.
- In requirement (b) marks will be awarded for BOTH figures AND explanations.

(25 marks)

4 of 4

You are the financial controller of Omega, a listed entity with a number of subsidiaries. Omega prepares financial statements to 30 June each year. Omega's sales director, who is not an accountant, has reviewed the first draft of the consolidated financial statements of Omega for the year ended 30 June 20X5. The sales director raised some queries as a result of the review.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Fair values – details the use of fair values in Omega's financial statements .
2. Properties – details of measurement of properties in Omega's financial statements.
3. Assets – details of the assets included in the financial statements of two subsidiariess .

This information should be used to answer the question requirement within the response option provided.

1. Fair values

When I reviewed the financial statements, it appeared that the measurement of most of Omega's assets was based on historical cost – what we paid for them. However, it appears from the notes to the financial statements that some assets are measured at fair value. A specific example of such a practice is the portfolio of equity shares which Omega has in a number of listed entities. It seems very inconsistent to measure some assets based on historical cost and others based on fair value.

I know that, in the specific case of equity shares, there is a quoted price which must be paid to buy them in the market, but a different quoted price at which a current owner could sell them in the market, and they may be traded on a number of security exchanges. I am unsure which one to use when identifying 'market price'.

In summary I would like you to address the following queries:

- How do we know when to use historical cost and when to use fair value?
- When we do use fair value, how do we measure fair value?
- How do we decide which of the quoted prices we should use for equity shares?
- What do we do if there is no market price? For example, in the case of shares in a company which is not listed.

(8 marks)

2. Properties

I am very confused by the accounting for properties in Omega's financial statements. We appear to measure all our properties at fair value in the financial statements. Please explain:—How we work out the fair value of a property if we do not actually advertise it for sale and we have no intention of selling any of our properties in the foreseeable future? There also seems to be a significant inconsistency in the frequency with which we compute fair value of properties and treat gains or losses on the re-measurement of properties in our financial statements. For example:—It appears that properties which we rent out to others are re-measured to fair value every year and that all gains and losses on their re-measurement are recognised in profit or loss;—When it comes to properties which we actually use ourselves, like our factories and warehouses, it appears that we re-measure to fair value less frequently, maybe once every three years or so; and—Gains or losses on the re-measurement of properties like this appear to be recognised in other comprehensive income most of the time, but occasionally in profit or loss. This all seems very inconsistent – surely we should adopt one approach for all our properties? Please explain the apparent inconsistencies in our approach to me.

(10 marks)

3. Assets

You will know that we have two subsidiaries, Aston and Bern, which have fairly similar business models and sell very similar products, albeit in different geographical markets. Aston is a subsidiary which the Omega Group created and incorporated ten years ago. The Omega Group only acquired a controlling interest in Bern a couple of years ago although it has been trading for about ten years.

The two subsidiaries have very similar asset profiles and I would have expected to see that their impact on the consolidated financial statements would be very similar, but there are significant differences:

- The consolidated financial statements have a goodwill figure relating to Bern but not relating to Aston.
- The Bern brand name is recognised in the consolidated financial statements but not the Aston brand name.
- The carrying amount of Bern's property, plant and equipment is significantly higher than that of Aston despite the underlying assets being very similar.

Please explain why there are these differences in the consolidated financial statements.

(7 marks)

Requirement (25 marks)

Provide answers to the queries raised by the sales director relating to the consolidated financial statements for the year ended 30 June 20X5. The queries you need to address appear in exhibits 1 - 3. You should justify your answers with reference to relevant IFRS Accounting Standards.

Note: The mark allocations are indicated in each exhibit.

(25 marks)

Answers

1 Consolidated statement of financial position of Alpha at 31 December 20X9
 [Note: all figures below in \$'000]

	\$'000
Assets	
Non-current assets	
Property, plant and equipment (350,000 + 225,000 + 12,000 (W1))	587,000
Goodwill (W2)	76,000
Investment in associate (W5)	45,400
Financial assets	36,000
	<u>744,400</u>
Current assets	
Inventories (105,000 + 80,000 – 5,000 (W4))	180,000
Trade receivables (95,000 + 70,000 – 10,000 (cash in transit))	155,000
Cash and cash equivalents (30,000 + 35,000 + 10,000 (cash in transit))	75,000
	<u>410,000</u>
Total assets	<u><u>1,154,400</u></u>
Equity and liabilities	
Equity attributable to equity holders of the parent	
Share capital (\$1 shares)	200,000
Retained earnings (W4)	204,700
Other components of equity (W8)	107,000
	<u>511,700</u>
Non-controlling interest (W3)	50,400
Total equity	<u>562,100</u>
Non-current liabilities	
Long-term borrowings (W7)	192,300
Deferred tax (110,000 + 25,000)	135,000
Total non-current liabilities	<u>327,300</u>
Current liabilities	
Trade and other payables (100,000 + 90,000)	190,000
Current tax payable (50,000 + 25,000)	75,000
Total current liabilities	<u>265,000</u>
Total liabilities	<u>558,200</u>
Total equity and liabilities	<u><u>1,154,400</u></u>

Working 1 – Net assets table for Beta

	1 January 20X8 \$'000	31 December 20X9 \$'000
Share capital	100,000	100,000
Other components of equity	55,000	55,000
Retained earnings:		
Per financial statements of Beta	30,000	65,000
Fair value adjustments:		
Property, plant and equipment (post-acquisition additional depreciation 20,000/5 years x 2 = 8,000)	20,000	12,000
Contingent liability	(25,000)	–
Net assets for the consolidation	<u>180,000</u>	<u>232,000</u>

Increase in net assets (232,000 – 180,000) = 52,000

Working 2 – Goodwill on acquisition of Beta

	\$'000
Fair value of shares issued (80,000 x ½ x \$5.40)	216,000
Non-controlling interest at date of acquisition (20,000 x \$2.00)	40,000
Net assets at date of acquisition (W1)	(180,000)
Goodwill at 1 January 20X9	<u>76,000</u>

Working 3 – Non-controlling interest in Beta

	\$'000
At date of acquisition (W2)	40,000
20% of post-acquisition increase in net assets (20% x 52,000 (W1))	10,400
	<u>50,400</u>

Working 4 – Retained earnings

	\$'000
Alpha – per draft SOFP	170,000
80% of post acquisition share of Beta (80% x 52,000 (W1))	41,600
Unrealised profit on sales to Beta (15,000 x 50/150)	(5,000)
Acquisition costs of Beta (Tutorial note: <i>Credit would also be given for deducting these costs from other components of equity</i>)	(2,000)
Share of profits of Gamma (W5)	4,400
Finance cost of convertible loan (W7)	(9,300)
Gain on financial asset portfolio (W9)	5,000
	<u>204,700</u>

Working 5 – Investment in Gamma

	\$'000
Cost of investment	41,000
Share of post-acquisition profits (W6)	4,400
	<u>45,400</u>

Working 6 – Share of post-acquisition profits of Gamma

	\$'000
Per Gamma's own financial statements – 40% (35,000 – 20,000)	6,000
Unrealised profit in inventory – 40% x 12,000 x 50/150	(1,600)
	<u>4,400</u>

Working 7 – Long-term borrowings

	\$'000
Loan element of convertible loan (150,000 x \$0.62)	93,000
Finance cost (93,000 x 10%)	9,300
Alpha's remaining long-term borrowings (140,000 – 100,000)	40,000
Beta's long-term borrowings	50,000
	<u>192,300</u>

Working 8 – Other components of equity

	\$'000
Alpha – per draft financial statements	100,000
Equity element of convertible loan (100,000 – 93,000 (W7))	7,000
	<u>107,000</u>

Working 9 – Gain on financial asset portfolio

	\$'000
Carrying amount per draft financial statements of Alpha	290,000
Carrying amounts of investments in:	
Beta (216,000 (W3) + 2,000)	(218,000)
Gamma (W5)	(41,000)
Carrying amount of financial asset portfolio per draft financial statements of Alpha	31,000
Gain on revaluation of the portfolio (balancing figure)	5,000
Fair value of the portfolio at 31 December 20X9	<u>36,000</u>

2 (a) Attachment 1 to the email

The relevant standard is IAS 19 – *Employee Benefits*. IAS 19 states that in the case of a defined benefit retirement plan, the contributing company should recognise the net defined benefit obligation/asset (pension liability less pension asset) in its own statement of financial position. Therefore the treatment of this amount in the statement of financial position at 30 September 20X8 is correct but will need to be updated to reflect the position at 30 September 20X9 and cannot be ignored per the FD's suggestion. The net defined benefit obligation will be \$9 million (\$67 million – \$58 million).

IAS 19 states that the current service cost (the increase in the defined benefit pension liability as a result of service in the current reporting period) should be recognised as an operating expense in the statement of profit or loss for the year. In the case of Delta, this expense is \$12.5 million and not the \$5m presently charged to PL.

IAS 19 further requires that an interest charge on the net pension liability be shown as a finance cost in the statement of profit or loss. This charge should be based upon the opening net defined benefit liability using the rate of return on high quality corporate bonds at the start of the reporting period.

In this case, the finance cost for the year ended 30 September 20X9 will be \$480,000 (\$6 million x 8%).

The contributions payable by Delta to the defined benefit plan will be invested by the plan managers as plan assets and in effect reduce the closing amount of the net defined benefit liability. It cannot be used simply to reduce the liability as suggested by the FD or indeed expensed to profit or loss.

The benefits paid to retired plan members will reduce both the overall defined benefit liability and the assets of the plan, so will have no impact on the overall financial position of the net defined benefit obligation shown on Delta's statement of financial position.

Any difference between the opening and closing net liability and the impact of the transactions already described will be treated as an actuarial gain or loss. Any such gain or loss will be recognised in other comprehensive income.

In this case the actuarial loss will be \$1.02 million (W1).

Attachment 2 to the email

Accounting for inventories is governed by IAS 2 – *Inventories*. IAS 2 states that inventories should be measured at the lower of cost and net realisable value.

IAS 2 states that the net realisable value of inventories should be determined for each category of inventory rather than for inventory as a whole. Therefore the fact that the net realisable value of product Y items is in excess of their cost is irrelevant in determining the net realisable of product X items.

The reduction in the selling price of product X items in October 20X9 is an event after the reporting period as defined in IAS 10 – *Events after the Reporting Period* – because it occurred after the reporting date but before the financial statements were authorised for issue.

The entry is an adjusting event because it provided more information about the likely sales proceeds (and therefore net realisable value) of inventory at the reporting date.

The net realisable value of an item of inventory is the anticipated sales proceeds net of selling costs.

Therefore the net realisable value of the product X items is \$17.2 million (10 million x \$1.72 [\$1.80 – \$0.08]). This amount should be shown as a current asset in the statement of financial position at 30 September 20X9. This requires a write down through profit of loss of \$2.8 million (\$20 million cost less NRV \$17.2 million).

No adjustment is needed to product Y as cost (\$3) is lower than NRV (\$3.50).

(b) Earnings (W2) = \$31.22 million

Number = 80 million x 9/12 + 100 million x 3/12 = 85 million

So EPS equals **36.7 cents** (\$31.22 million/85 million shares).

W1 – Spreadsheet workings: actuarial loss for the year ended 30 September 20X9

	\$'000
Opening net liability	6,000
Current service cost	12,500
Interest cost on net liability	480
Contributions paid	(11,000)
	7,980
Actuarial loss (balancing figure)	1,020
Closing net liability (67,000 – 58,000)	9,000

Alternative working for separate obligation/asset column

	Asset \$'000	Obligation \$'000
Opening	54,000	60,000
Current service cost		12,500
Contributions paid	11,000	
Benefits paid	(7,000)	(7,000)
Interest	4,320	4,800
	62,320	70,300
Remeasurement loss/actuarial gain	(4,320)	3,300
	58,000	67,000

Net to OCI (4,320 – 3,300) = 1,020

W2 – Spreadsheet workings: earnings for EPS purposes for the year ended 30 September 20X9

	\$'000
Profits per draft financial statements	42,000
Add: contributions incorrectly charged to P/L	5,000
Deduct: current service cost	(12,500)
Deduct: interest cost on net defined benefit liability	(480)
Deduct: actuarial loss (charged to OCI)	nil
Deduct: write down of inventory (20,000 – 17,200)	(2,800)
Corrected profits for EPS purposes	31,220

(c) Ethical issue – Email from FD

You are in danger of breaching the fundamental ethical principle of integrity. The FD has suggested that you collude in the reporting an inflated profit figure and, as a result, share in a profit related bonus (*candidates who referred to a self-interest threat here received appropriate credit*).

You could also be said to be potentially breaching the fundamental principle of integrity in these circumstances in the sense that colluding in the reporting of an inflated profit figure would present a misleading picture to the shareholders of Delta.

You face a danger of breaching the principle of objectivity because of the way the FD has linked your complying with these instructions to your upcoming staff appraisal (*candidates who referred to an intimidation threat received appropriate credit*).

You also may be breaching the fundamental ethical principle of professional competence and due care. The treatments suggested by the FD are clearly inappropriate and not in compliance with IFRS Accounting Standards. Were you to implement them, you would be in breach of your professional duty to conduct yourself in a competent manner.

3 Exhibit 1 – Memorandum

To: Trainee accountant

From: Financial controller

- (i) IAS 12 – *Income Taxes* requires us to compute temporary differences for **each** asset and liability. A temporary difference is the difference between the **carrying amount** of an asset or liability and its **tax base**.

The tax base of an asset or liability is the amount attributed to that asset or liability for tax purposes.

If the temporary difference is such that the subsequent settlement of the relevant asset or liability will generate taxable amounts, then the temporary difference is a taxable temporary difference.

If the temporary difference is such that the subsequent settlement of the relevant asset or liability will result in an allowable deduction for tax purposes, then the temporary difference is a deductible temporary difference.

- (ii) Deferred tax liabilities or assets should be measured by multiplying the relevant temporary difference by the **rate of corporate income tax which is expected to apply** when the relevant temporary difference generates taxable income or qualifies for a tax deduction. This rate should be computed with reference to **legislation which has been enacted or substantively enacted by the end of the reporting period**.

- (iii) With a very limited number of exceptions, deferred tax liabilities should be recognised on **all taxable temporary differences**.

Deferred tax assets should be recognised in respect of deductible temporary differences **to the extent that it is probable that taxable profits will be available against which the deductible temporary difference can be utilised**.

- (iv) Deferred tax liabilities and assets can be offset in the statement of financial position provided the relevant temporary differences relate to the same tax jurisdiction and the reporting entity intends to settle the relevant taxable amounts on a net basis.
- (v) The movement in a relevant deferred tax liability or asset from one reporting period to another would normally result in an **adjustment to the income tax charge in the statement of profit or loss**. However, if the movement in the relevant deferred

tax amount was as a result of a transaction which is recognised directly in other comprehensive income (for example, most revaluations of property, plant and equipment), then the deferred tax consequences of the transaction would be recognised in other comprehensive income also.

Exhibit 2 – Transactions

Transaction (a)

The carrying amount of the asset on 30 June 20X5 is \$36 million (\$60 million x 3/5).

The tax base of the asset at 30 June 20X5 is \$15 million (\$60 million – \$30 million – \$15 million).

Therefore the **taxable** temporary difference is **\$21 million** (\$36 million – \$15 million) and the relevant deferred tax liability is **\$4.2 million** (\$21 million x 20%).

The carrying amount of the asset on 30 June 20X4 would have been **\$48 million** (\$60 million X 4/5). Its tax base at that date would have been **\$30 million** (\$60 million – \$30 million).

Therefore the taxable temporary difference on 30 June 20X4 would have been **\$18 million** (\$48 million – \$30 million) and the relevant deferred tax liability would have been **\$3.6 million** (\$18 million x 20%).

The increase in the deferred tax liability of \$0.6 million (\$4.2 million – \$3.6 million) will be charged to profit or loss.

Transaction (b)

Under the principles of IFRS 9 – *Financial Instruments* – the interest free loan would have incurred a finance cost of **\$4 million** (\$40 million x 10%). This means that the carrying amount of the loan liability at 30 June 20X5 will be **\$44 million** (\$40 million + \$4 million).

The tax base of the loan will be \$40 million as the entire interest is tax deductible but only when the loan is repaid in 20X8.

Therefore the **deductible** temporary difference will be **\$4 million** (\$44 million – \$40 million) and the relevant potential deferred tax asset **\$0.8 million** (\$4 million x 20%). This asset **can be recognised because it is anticipated that Epsilon will generate sufficient taxable income in future periods to offset the potential future tax deduction.**

Transaction (c)

Under the principles of IAS 36 – *Impairment of Assets* – the goodwill on acquisition of Fred will be reviewed for impairment as **part of the overall cash-generating unit (CGU)**. The carrying amount of the CGU (including goodwill) will be **\$120 million** (\$100 million + \$20 million).

An impairment review involves comparing the carrying amount of the unit with its recoverable amount. Recoverable amount is the **higher of value-in-use and fair value less costs of disposal.**

In this case, the recoverable amount of the CGU is **\$105 million**. This means that the unit has suffered impairment of **\$15 million** (\$120 million – \$105 million).

The impairment loss of \$15 million will reduce the carrying amount of goodwill in Epsilon's consolidated financial statements. IAS 12 prohibits the recognition of deferred tax on the initial recognition and subsequent impairment of goodwill and therefore there is no deferred tax consequence arising from the goodwill impairment.

Overall presentation

The net deferred tax liability at 30 June 20X5 will be **\$3.4 million** (\$4.2 million – \$0.8 million). Offsetting of deferred tax liabilities and assets is justified because they relate to the **same** tax jurisdiction. The net liability will be shown as a non-current liability in the statement of financial position at 30 June 20X5.

The opening deferred tax position regarding these transactions would have been a liability of **\$3.6 million** (see above). Therefore the reduction in the overall liability over the year will be **\$0.2 million** (\$3.6 million – \$3.4 million). This amount will be shown as a **reduction in the tax charge in the statement of profit or loss** (since all the transactions which have generated these temporary differences affect profit or loss).

Tabular working – Deferred tax position at 30 June 20X5 and PL movement

Item	Carrying amount \$'000	Tax base \$'000	Taxable/(deductible) temporary difference \$'000	Deferred tax liability/(asset) \$'000
Machine – at 30 June 20X5	36,000	(15,000)	21,000	4,200
Loan – at 30 June 20X5	(44,000)	40,000	(4,000)	(800)
Overall position at 30 June 20X5				3,400
Machine – at 30 June 20X4	48,000	(30,000)	18,000	3,600

The credit to profit or loss in the year is the difference between the closing liability (\$3.4 million) and the opening liability (\$3.6 million). This difference is \$0.2 million.

4 Exhibit 1 – Fair values

The use (or otherwise) of fair value as a measurement basis is covered by specific IFRS Accounting Standards. Overall, the requirements of specific IFRS Accounting Standards lead to a mixed measurement model being used.

The accounting standard which is relevant to the use of fair values is **IFRS 13 – Fair Value Measurement**. As its title implies, IFRS13 deals with the **measurement of fair value rather than when** fair value should actually be used as a measurement basis.

IFRS 13 states that the fair value of an asset is the **amount which could be expected to be received from its disposal in an orderly transaction between market participants**. Transaction costs are **not** deducted in computing fair value.

Therefore fair value is an exit measure rather than an entry measure. **In the case of shares in a listed entity, for which a 'buy' and a 'sell' price is quoted, it is the 'sell price' which is relevant for fair value measurement.**

Where possible, fair value should be based on **observable** market prices. If there is **more than one** 'market' on which the asset is traded (which could easily be the case for equity shares in a listed entity), then fair value measurement should be based on the **principal market** in which the asset is traded.

Where no specific market prices are available for an individual asset, then IFRS 13 requires that fair values are **estimated** using a range of possible approaches. In the case of shares in an unquoted entity, these **could include** basing fair value on the market prices of the shares of a similar listed entity, discounted for relative lack of marketability, or basing fair value on the projected future earnings, discounted at an appropriate discount rate.

Exhibit 2 – Properties

The fair value of a property would be computed using the **principles set out in IFRS 13**.

In the specific case of properties, fair values could almost certainly be estimated based on the market prices of similar properties which had recently been sold on the open market in the same location.

This estimate would need to reflect **alternative uses** to which the property could be put compared with its current usage. This is **because IFRS 13 requires us to base fair value measurement on the highest and best use** to which the property could be put and which 'market participants' would consider in making a decision to acquire the property.

There are **two separate** IFRS Accounting Standards dealing with the recognition and measurement of properties. These are **IAS 40 – Investment Properties** and **IAS 16 – Property, Plant and Equipment (PPE)**.

IAS 40 **defines** an investment property as one which is held to earn rentals and/or capital appreciation. The properties which we rent out clearly meet this definition.

IAS 40 requires that investment properties are measured using **either** the cost model **or** the fair value model. It **appears** that Omega uses the fair value model to measure its investment properties.

Under the fair value model as set out in IAS 40, investment properties are revalued **annually** to fair value, with gains or losses recognised in **profit or loss**.

Owner occupied properties are dealt with under IAS 16. IAS 16 states that a particular class of PPE is measured using **either** the cost model **or** the revaluation model. Therefore it is **perfectly possible** that owner occupied properties are measured using fair value.

Under the revaluation model, properties are revalued with sufficient regularity to ensure that their year-end carrying amount does not differ significantly from their year-end fair value. This does not necessarily have to mean a new revaluation every year.

Where the revaluation of an owner occupied property results in a **surplus**, then the surplus is recognised in **other comprehensive income** unless it is reversing a revaluation deficit on the same asset which was **previously** recognised in profit or loss.

Where the revaluation results in a **deficit**, then the deficit is recognised in **profit or loss** unless it is reversing a revaluation surplus on the same asset which was **previously** recognised in other comprehensive income.

Exhibit 3 – Assets

The reason for the different treatment of the assets of Aston and Bern in the consolidated financial statements is due to the way the subsidiaries joined the group.

The assets of Aston arose as a result of the internal development of the company as part of the Omega group.

The goodwill attaching to Aston and its brand name are internally developed intangible assets. Recognition and measurement of such assets is dealt with in accordance with the requirements of IAS 38 – *Intangible Assets*.

IAS 38 prohibits the recognition of internally developed intangible assets unless they arise as part of a research and development project. Therefore it is inappropriate to recognise the goodwill attaching to Aston and its brand name in the consolidated financial statements of Omega.

The subsidiary Bern was acquired as a business combination. Accounting for business combinations is dealt with by IFRS 3 – *Business Combinations*.

IFRS 3 requires that, in the case of a business combination, the difference between the fair value of the consideration given and the fair values of the net assets acquired be recognised as goodwill arising on acquisition.

IFRS 3 requires that the assets and liabilities of a newly acquired subsidiary are separately identified and measured at fair value.

Therefore, provided the brand name attaching to Bern can be reliably fair valued, it would be recognised as an intangible asset in the consolidated financial statements of Omega.

The carrying amount of Bern's property, plant and equipment in the consolidated financial statements of Omega would be based on its fair value at the date of acquisition by Omega, whereas the carrying amount of Aston's property, plant and equipment in the consolidated financial statements of Omega would be based on its historical cost to Aston (and the group), presumably a lower figure.

	<i>Marks</i>
1 Consolidated statement of financial position	
Non-current assets	
– PPE and financial assets	1·5
– Goodwill	4
– Investment in associate	2·5
Current assets	2·5
Equity	
– Share capital and other components of equity	2
– Retained earnings	7
– Non-controlling interest	1·5
Non-current liabilities	
– Long-term borrowings	2·5
– Deferred tax	0·5
Current liabilities	1
	25
2 (a)	
– Explanations per IAS 19	5·5
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– Explanations per IAS 2	3
– Calculations	1·5
– Explanations per IAS 10	1·5
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– Explanations per IAS 12	9
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Transaction (a)	
– Explanations IAS 12	1
– Calculations	4
Transaction (b)	
– Explanations IFRS 9	1
– Explanations IAS 12	1
– Calculations	2
Transaction (c)	
– Explanation IAS 36	2
– Calculations IAS 36	1·5
– Explanation IAS 12	0·5
Presentation IAS 12	3
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4 Exhibit 1	
– Explanations per IFRS 13	8
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– Explanations per IFRS 13	2
– Explanations per IAS 16	5
– Explanations per IAS 40	3
Exhibit 3	
– Explanations per IAS 38	2·5
– Explanations IFRS 3	4·5
	25